Adam Smith’s Theory of Capitalism (Short Note)

Adam Smith (1723–1790), known as the Father of Modern Economics, explained capitalism in his book “The Wealth of Nations” (1776).

He believed that when people work for their own profit, they also help society through the “Invisible Hand.”

The system allows private ownership, freedom of choice, competition, and limited government control.

Advantages: Encourages innovation, hard work, and economic growth.
Gives freedom to produce, sell, and buy anything.
Improves quality and efficiency through competition.

Bad Consequences: Creates income inequality (rich vs poor).
Causes worker exploitation and unemployment.
Leads to greed, monopolies, and less care for social welfare.

Conclusion: Capitalism helps the economy grow but needs balance and government control to protect people’s welfare.